

Write your name here Surname names 	Other	Pearson Edexcel Level 3 GCE
Centre Number 	Candidate Number 	

Economics A

Advanced

Paper 2: The National and Global Economy

Predicted Paper — Advanced (for revision purposes only)

Predicted Paper — For revision purposes only Time: 2 hours You do not need any other materials.	Paper Reference 9EC0/02 Total Marks 100
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Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 A central bank applies a simple Taylor rule of the form:

$$i = r^* + \pi + 0.5(\pi - \pi^*) + 0.5(y - y^*)$$

where i is the policy rate, r^* the equilibrium real rate (2%), π the current inflation rate, π^* the target (2%), and $(y - y^*)$ the output gap as a % of potential GDP. Current data shows $\pi = 4.5\%$ and an output gap of $+1.2\%$.

(a) Which one of the following best describes the change in Argentina's CPI inflation between 2023 and 2025 shown in the data? **(1)**

- ☐ **A** Hyperinflation followed by disinflation
- ☐ **B** Deflation throughout
- ☐ **C** Stable inflation
- ☐ **D** Stagflation throughout

(b) Explain the likely effects on Argentina's real economy of the sharp fiscal consolidation introduced under President Milei in 2024. **(4)**

(Total for Question 1 = 5 marks)

2 Empirical studies of the UK economy estimate that a 1 percentage-point increase in the Bank Rate reduces real GDP by approximately 0.5% after 18–24 months, with the peak effect on inflation reached at around 24 months.

Source: adapted from <https://www.bankofengland.co.uk/quarterly-bulletin/monetary-transmission>

(a) Explain why the estimated transmission lag between monetary policy and output is a key challenge for the Monetary Policy Committee in 'real time'. **(2)**

(b) Explain one reason why the existence of long and variable transmission lags makes monetary policy more difficult to set than fiscal policy. **(2)**

(c) The existence of long and variable lags most strongly supports: **(1)**

- ☐ **A** discretionary monetary policy based on current data
- ☐ **B** policy rules that respond to forecasts rather than outcomes
- ☐ **C** fixed exchange-rate regimes
- ☐ **D** a higher inflation target

(Total for Question 2 = 5 marks)

3 The Ricardian equivalence hypothesis holds that, under certain assumptions, a tax cut financed by government borrowing has no effect on aggregate consumption because households anticipate higher future taxes and save to offset them. Empirical evidence across OECD economies suggests that the equivalence hypothesis holds only partially: estimated offsetting saving coefficients range from 0.2 to 0.7.

(a) Which of the following assumptions is most critical to strict Ricardian equivalence? **(1)**

- ☐ **A** Households are strongly credit-constrained

- ☐ **B** Households are forward-looking with unlimited planning horizons
- ☐ **C** The government is unable to issue debt in its own currency
- ☐ **D** Inflation expectations are backward-looking

(b) Explain two reasons why Ricardian equivalence is unlikely to hold exactly in practice. **(4)**

(Total for Question 3 = 5 marks)

4 Some economists argue that prolonged cyclical unemployment following a large adverse shock can become structural — a process known as hysteresis. In the UK, long-term unemployment rates remain around 40% above their pre-2008 average.

Source: adapted from <https://www.niesr.ac.uk/publications/hysteresis-uk-labour-market>

(a) Explain one mechanism through which cyclical unemployment can generate hysteresis. **(4)**

(b) A policy most directly targeting hysteresis would be: **(1)**

- ☐ **A** a temporary fall in VAT
- ☐ **B** active labour-market programmes funding retraining for the long-term unemployed
- ☐ **C** a rise in the inflation target
- ☐ **D** a cut in corporate tax

(Total for Question 4 = 5 marks)

5 The theory of an Optimum Currency Area (OCA) identifies the criteria under which countries benefit from sharing a single currency: high labour mobility, high trade integration, fiscal-transfer mechanisms between members, and symmetric business cycles.

(a) Which of the following is most likely to increase the costs of currency-union membership for a small member state? **(1)**

- ☐ **A** high labour mobility between member states
- ☐ **B** a large, asymmetric external supply shock
- ☐ **C** deep trade integration with other members
- ☐ **D** a common automatic-stabiliser fiscal mechanism

(b) Explain one reason why the euro area has been widely judged to fall short of OCA criteria. **(4)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 The Chinese economic slowdown, 2021–2024

Figure 1: Chinese real GDP growth and property-sector investment, 2019–2024

Year	Real GDP growth (% YoY)	Property-sector investment (% YoY)	New home sales (% YoY)
2019	6.0	9.9	1.5
2020	2.2	7.0	3.2
2021	8.4	4.4	–1.9
2022	3.0	–10.0	–26.7
2023	5.2	–9.6	–6.5
2024	4.8	–10.6	–17.1

Source: adapted from <https://www.stats.gov.cn/english/>

Figure 2: China annual CPI and producer-price inflation (%), 2021–2024

Indicator	2021	2022	2023	2024
CPI inflation (% YoY)	0.9	2.0	0.2	–0.3
Producer Price Index (% YoY)	8.1	4.1	–3.0	–2.2

Source: adapted from <https://data.stats.gov.cn/english/easyquery.htm>

Extract A — The end of China's property supercycle

Between 2010 and 2020 residential property investment rose from under 10% to roughly 14% of Chinese GDP. Local-government financing depended heavily on land-sale revenues, and household wealth became disproportionately concentrated in housing. From late 2020 the 'three red lines' policy tightened leverage limits on developers; subsequent defaults — most visibly at Evergrande and Country Garden — precipitated a multi-year contraction in new housing starts. By 2024, floor-space under construction had fallen by over 30% from its peak, and pre-sold housing that developers had failed to deliver became a focus of household protest.

Source: adapted from <https://www.imf.org/en/Publications/WEO/chinese-property-sector>

Extract B — Debt-deflation risks

Chinese consumer prices fell year-on-year in 2024 for the first time since 2009, while the producer-price index contracted for three consecutive years. Total non-financial debt is estimated at roughly 290% of GDP. Policymakers have signalled a preference for targeted support over large stimulus, reflecting concerns about long-run leverage. Private economists warn of the classical debt-deflation dynamic described by Irving Fisher in 1933: falling prices raise the real value of debts, compressing debtor spending and investment, which further weakens demand.

Source: adapted from https://www.bis.org/publ/qtrpdf/r_qt2409.htm

Extract C — Global spillovers from Chinese excess capacity

China accounts for roughly 30% of global manufacturing output. Weak domestic demand has increased the share of manufacturing output directed to export markets, particularly in electric

vehicles, solar panels, batteries, and basic chemicals. Export prices have fallen in several categories, prompting anti-dumping investigations by the EU and the United States. For importing economies, the effect is disinflationary — but European and US policymakers have expressed concern over the impact on domestic manufacturing employment and on the financing of the low-carbon transition.

Source: adapted from https://www.wto.org/english/res_e/publications_e/wtr24_e.htm

- (a)** With reference to Figure 1 and Extract A, explain one likely cause of the sharp downturn in Chinese property-sector investment between 2021 and 2024. **(5)**
- (b)** Examine two reasons why a rebalancing from investment-led to consumption-led growth may be politically and institutionally difficult in China. **(8)**
- (c)** Assess the extent to which China's 2021–2024 slowdown reflects a structural rather than a cyclical problem. **(10)**
- (d)** With reference to Figure 2 and Extract B, discuss the possible consequences of a debt-deflation dynamic for Chinese macroeconomic performance. **(12)**
- (e)** Evaluate the likely international macroeconomic spillovers of persistent Chinese excess capacity and deflation. Refer to Extract C and your own knowledge in your answer. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 The transition to net-zero emissions is likely to generate large adjustments in relative prices, capital stocks and labour allocation. Some economists describe this as a 'greenflation' or 'climateflation' challenge.

Evaluate the likely macroeconomic consequences of an accelerated global net-zero transition for inflation, output growth and financial stability. Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

OR

8 'The US dollar's role as the dominant global reserve currency is the central source of instability in the international monetary system, but no credible alternative currently exists.'

To what extent do you agree with this statement? Refer to the Triffin dilemma and recent policy developments in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS